CIA Part 1 – Questions 201–300 (Hard, Wilson-Style)

Essentials of Internal Auditing

Study Deck

October 17, 2026

Format

100 new questions (Q201–Q300), none repeated from Q1–Q200.

Each: stem + A–D, then a detailed explanation slide.

Style: "which is best," "which is LEAST likely," "MOST likely."

Domains: Foundations, Independence, Proficiency, QAIP, Governance, Risk, Control, Fraud, Planning, Evidence, Sampling, Reporting, Follow-up.

Q201

Question: An auditor is assigned to audit the same department for the third consecutive year. Which is the MOST likely concern?

A. The auditor may lose objectivity through familiarity.

B. The auditor will be too efficient.

C. The auditor will find too many issues.

D. The auditor will need less documentation.

Correct Answer: A

Q201 – Explanation

Correct: A. Repeated assignments create a familiarity threat; rotation or safeguards may be needed.

B wrong: Efficiency is not a concern.

C wrong: Findings are not a concern.

D wrong: Documentation is always required.

Q202

Question: Which is the BEST description of "control risk"?

A. Risk that a control fails to prevent/detect misstatement timely.

B. Risk before controls.

C. Risk the auditor misses something.

D. Risk of fraud.

Correct Answer: A

Q202 – Explanation

Correct: A. Control risk is the risk a control does not prevent or detect a material misstatement timely.

B wrong: That is inherent risk.

C wrong: That is detection risk.

D wrong: Fraud is a source of risk.

Q203

Question: Which is the MOST appropriate way to test a journal entry control?

A. Review the policy.

B. Examine journal entries for unusual users, times, or amounts.

C. Interview the controller.

D. Review the budget.

Correct Answer: B

Q203 – Explanation

Correct: B. Analyzing journal entries for red flags tests the control over manual entries.

A wrong: Policy review tests design only.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q204

Question: Which is the BEST description of "audit program"?

A. The audit report.

B. A document listing procedures to achieve engagement objectives.

C. The engagement letter.

D. The audit committee minutes.

Correct Answer: B

Q204 – Explanation

Correct: B. The audit program lists procedures tailored to the engagement objectives.

A wrong: The report is an output.

C wrong: The engagement letter is an agreement.

D wrong: Minutes are governance records.

Q205

Question: Which is the MOST likely effect of a strong control environment on the nature of audit procedures?

A. It may allow more reliance on controls and less substantive testing.

B. It eliminates substantive testing.

C. It increases detection risk.

D. It removes the need for planning.

Correct Answer: A

Q205 – Explanation

Correct: A. A strong environment supports reliance on controls, though some substantive work remains.

B wrong: Substantive testing is still needed.

C wrong: It may reduce risk.

D wrong: Planning is always required.

Q206

Question: Which is the BEST way to test the completeness of recorded liabilities?

A. Vouch from the ledger to invoices.

B. Trace from receiving reports and invoices to the ledger.

C. Confirm payables.

D. Review the budget.

Correct Answer: B

Q206 – Explanation

Correct: B. Tracing from source documents to the ledger tests completeness.

A wrong: Ledger-to-invoices tests existence.

C wrong: Confirmations test existence.

D wrong: Budgets are not evidence.

Q207

Question: Which is the MOST appropriate description of "risk response"?

A. Ignoring risk.

B. Avoid, reduce, share, or accept risk.

C. Transferring all risk.

D. Eliminating all risk.

Correct Answer: B

Q207 – Explanation

Correct: B. The four responses are avoid, reduce, share, and accept.

A wrong: Ignoring is not a valid response.

C wrong: Transfer is only one option.

D wrong: Elimination is not always possible.

Q208

Question: Which is the BEST evidence of the existence of inventory held by a third party?

A. The third party's invoice.

B. External confirmation from the third party.

C. The warehouse receipt.

D. Management's representation.

Correct Answer: B

Q208 – Explanation

Correct: B. External confirmation from the third party is direct, independent evidence.

A wrong: An invoice is not proof of current existence.

C wrong: Warehouse receipts are internal.

D wrong: Management representations are weak.

Q209

Question: Which is the MOST appropriate action if an auditor is asked to audit a process they designed?

A. Proceed, since the design was approved.

B. Decline or request reassignment due to self-review threat.

C. Proceed but use a smaller sample.

D. Proceed and document the design.

Correct Answer: B

Q209 – Explanation

Correct: B. Auditing your own design is a self-review threat; decline or reassign.

A wrong: Approval does not remove the impairment.

C wrong: Smaller samples do not cure self-review.

D wrong: Documentation does not cure the threat.

Q210

Question: Which is the BEST description of "control environment"?

A. The IT firewall.

B. The tone of the organization regarding ethics and control.

C. The audit plan.

D. The external audit opinion.

Correct Answer: B

Q210 – Explanation

Correct: B. Control environment is the tone at the top.

A wrong: Firewalls are control activities.

C wrong: The audit plan is a tool.

D wrong: The external opinion is unrelated.

Q211

Question: Which is the MOST likely indicator of a fraudulent financial reporting scheme?

A. Revenue growth consistent with cash flow.

B. Revenue growth far exceeding cash flow.

C. Strong controls.

D. Timely reporting.

Correct Answer: B

Q211 – Explanation

Correct: B. Revenue outpacing cash flow may indicate fictitious or premature revenue recognition.

A wrong: Consistency is a positive sign.

C wrong: Strong controls reduce risk.

D wrong: Timely reporting is positive.

Q212

Question: Which is the BEST way to test the operating effectiveness of a three-way match?

A. Review the policy.

B. Select a sample of payments and verify PO, receipt, and invoice match.

C. Interview the AP manager.

D. Review the budget.

Correct Answer: B

Q212 – Explanation

Correct: B. Sampling payments and verifying the match tests whether the control operates.

A wrong: Policy review tests design.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q213

Question: Which is the MOST appropriate description of "governance"?

A. The audit plan.

B. Processes and structures to direct and control the organization.

C. The financial statements.

D. The audit report.

Correct Answer: B

Q213 – Explanation

Correct: B. Governance is the system of direction and control.

A wrong: The audit plan is a tool.

C wrong: Financial statements are outputs.

D wrong: The audit report is an output.

Q214

Question: Which is the BEST description of "audit risk"?

A. Risk the organization fails.

B. Risk the auditor issues an inappropriate conclusion.

C. Risk the control fails.

D. Risk of fraud.

Correct Answer: B

Q214 – Explanation

Correct: B. Audit risk is the risk of an incorrect audit conclusion.

A wrong: Business failure is business risk.

C wrong: Control failure is control risk.

D wrong: Fraud is a source of risk.

Q215

Question: Which is the MOST appropriate way to test the accuracy of an account balance?

A. Vouch to source documents.

B. Recompute the balance from supporting records.

C. Interview the accountant.

D. Review the budget.

Correct Answer: B

Q215 – Explanation

Correct: B. Recomputing the balance directly tests arithmetic accuracy.

A wrong: Vouching tests existence/occurrence.

C wrong: Inquiry alone is weak.

D wrong: Budget review is not accuracy evidence.

Q216

Question: Which is the BEST description of "control self-assessment"?

A. External audit technique.

B. Management assesses its own controls.

C. Fraud investigation.

D. Regulatory filing.

Correct Answer: B

Q216 – Explanation

Correct: B. CSA engages management in assessing controls.

A wrong: It is internal.

C wrong: It is not fraud investigation.

D wrong: It is not a filing.

Q217

Question: Which is the MOST likely risk of using only inquiry to test a control?

A. Over-reliance on weak evidence.

B. Excessive sample size.

C. Too much documentation.

D. Excessive detection risk reduction.

Correct Answer: A

Q217 – Explanation

Correct: A. Inquiry is weak evidence and may lead to incorrect conclusions.

B wrong: Inquiry doesn't drive sample size.

C wrong: Inquiry produces little evidence.

D wrong: Inquiry increases detection risk.

Q218

Question: Which is the BEST way to evaluate the effectiveness of a board's risk oversight?

A. Count board meetings.

B. Review how the board challenges and monitors risk.

C. Review board salaries.

D. Count board members.

Correct Answer: B

Q218 – Explanation

Correct: B. Effectiveness is judged by quality of challenge and monitoring.

A wrong: Meeting frequency is not effectiveness.

C wrong: Salaries are irrelevant.

D wrong: Size is not a performance measure.

Q219

Question: Which is the MOST appropriate action if the auditor believes the audit committee is not independent?

A. Ignore it.

B. Document and escalate through appropriate channels.

C. Resign immediately.

D. Report to the external auditor only.

Correct Answer: B

Q219 – Explanation

Correct: B. Document and escalate governance concerns appropriately.

A wrong: Ignoring governance weaknesses is improper.

C wrong: Resignation is a last resort.

D wrong: Reporting only to external audit is inappropriate.

Q220

Question: Which is the BEST way to test the completeness of fixed asset additions?

A. Trace from the fixed asset ledger to invoices.

B. Trace from receiving reports and invoices to the fixed asset ledger.

C. Review the budget.

D. Interview the controller.

Correct Answer: B

Q220 – Explanation

Correct: B. Tracing from source documents to the ledger tests completeness.

A wrong: Ledger-to-invoices tests existence.

C wrong: Budget review is not evidence.

D wrong: Inquiry alone is weak.

Q221

Question: Which is the MOST likely effect of a strong control environment on fraud risk?

A. Increases fraud risk.

B. Reduces fraud risk.

C. Has no effect.

D. Eliminates all fraud.

Correct Answer: B

Q221 – Explanation

Correct: B. A strong ethical tone reduces fraud risk.

A wrong: It reduces, not increases.

C wrong: It has a significant effect.

D wrong: Fraud cannot be eliminated.

Q222

Question: Which is the BEST description of "monitoring" in COSO?

A. Setting budgets.

B. Assessing the quality of internal control over time.

C. Hiring staff.

D. Preparing the audit plan.

Correct Answer: B

Q222 – Explanation

Correct: B. Monitoring assesses quality of internal control over time.

A wrong: Budgeting is a control activity.

C wrong: Hiring is a control activity.

D wrong: The audit plan is a tool.

Q223

Question: Which is the MOST appropriate way to test a physical safeguard control?

A. Review the policy.

B. Inspect the safeguards and attempt access.

C. Interview the guard.

D. Review the budget.

Correct Answer: B

Q223 – Explanation

Correct: B. Inspecting and attempting access provides direct evidence.

A wrong: Policy review tests design.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q224

Question: Which is the BEST description of "information and communication" in COSO?

A. The marketing plan.

B. Capturing and communicating relevant information.

C. The IT budget.

D. The audit report.

Correct Answer: B

Q224 – Explanation

Correct: B. It ensures relevant information is captured and communicated timely.

A wrong: Marketing is unrelated.

C wrong: The IT budget is a resource.

D wrong: The audit report is an output.

Q225

Question: Which is the MOST likely effect of management override on the audit strategy?

A. The auditor may reduce substantive testing.

B. The auditor may increase substantive testing or focus on journal entries.

C. The auditor ignores it.

D. The auditor relies on management.

Correct Answer: B

Q225 – Explanation

Correct: B. Override risk usually increases substantive testing, especially journal entry testing.

A wrong: It increases, not reduces, testing.

C wrong: Ignoring override risk is improper.

D wrong: Reliance on management is inappropriate.

Q226

Question: Which is the BEST way to test the valuation of inventory?

A. Count the inventory.

B. Compare carrying amounts to net realizable value.

C. Review the budget.

D. Interview the warehouse manager.

Correct Answer: B

Q226 – Explanation

Correct: B. Comparing to NRV tests whether inventory is overvalued.

A wrong: Counting tests existence.

C wrong: Budget review is not valuation evidence.

D wrong: Inquiry alone is weak.

Q227

Question: Which is the MOST appropriate description of "risk appetite"?

A. The CAE's risk tolerance.

B. The amount/type of risk the organization is willing to accept.

C. The audit fee.

D. The external auditor's opinion.

Correct Answer: B

Q227 – Explanation

Correct: B. Risk appetite is set by governance and expresses willingness to accept risk.

A wrong: The CAE does not set appetite.

C wrong: Fees are unrelated.

D wrong: The external opinion is unrelated.

Q228

Question: Which is the BEST description of "control activities"?

A. Policies/procedures ensuring directives are carried out.

B. The board's schedule.

C. The audit plan.

D. The marketing plan.

Correct Answer: A

Q228 – Explanation

Correct: A. Control activities are policies and procedures such as approvals, reconciliations, and segregation.

B wrong: Schedules are not controls.

C wrong: The audit plan is a tool.

D wrong: Marketing plans are unrelated.

Q229

Question: Which is the MOST appropriate way to test a password policy?

A. Review the policy only.

B. Inspect system configuration and test password strength/reset settings.

C. Interview the IT director.

D. Review the IT budget.

Correct Answer: B

Q229 – Explanation

Correct: B. Testing actual configuration provides evidence the policy operates.

A wrong: Policy review tests design only.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q230

Question: Which is the BEST description of "due care"?

A. Guaranteeing no errors.

B. Using the care expected of a reasonably prudent auditor.

C. Following management orders.

D. Avoiding documentation.

Correct Answer: B

Q230 – Explanation

Correct: B. Due care is reasonable prudence and competence.

A wrong: Guarantees are impossible.

C wrong: Management orders do not override Standards.

D wrong: Documentation is required.

Q231

Question: Which is the MOST likely effect of a weak control environment on fraud risk?

A. It increases fraud risk.

B. It reduces fraud risk.

C. It has no effect.

D. It eliminates fraud.

Correct Answer: A

Q231 – Explanation

Correct: A. A weak tone at the top increases opportunity and rationalization for fraud.

B wrong: It increases, not reduces.

C wrong: It has a strong effect.

D wrong: It cannot eliminate fraud.

Q232

Question: Which is the BEST way to test the accuracy of a payroll register?

A. Compare to the budget.

B. Recompute gross pay, deductions, and net pay from time and rate records.

C. Interview the payroll clerk.

D. Review the policy.

Correct Answer: B

Q232 – Explanation

Correct: B. Recomputing from source records directly tests accuracy.

A wrong: Budget comparison is not accuracy evidence.

C wrong: Inquiry alone is weak.

D wrong: Policy review tests design only.

Q233

Question: Which is the MOST appropriate description of "assurance"?

A. An objective assessment providing an opinion/conclusion.

B. An advisory service.

C. The marketing plan.

D. The audit committee's schedule.

Correct Answer: A

Q233 – Explanation

Correct: A. Assurance is an objective assessment providing an independent opinion/conclusion.

B wrong: Advisory is consulting.

C wrong: Marketing is unrelated.

D wrong: Committee schedule is governance cadence.

Q234

Question: Which is the BEST way to test the existence of a receivable?

A. Review the aged trial balance.

B. Confirm with the customer.

C. Interview the credit manager.

D. Review the sales budget.

Correct Answer: B

Q234 – Explanation

Correct: B. External confirmation provides direct third-party evidence.

A wrong: The trial balance is internally generated.

C wrong: Inquiry alone is weak.

D wrong: Budgets are not existence evidence.

Q235

Question: Which is the MOST appropriate description of "follow-up"?

A. Monitoring whether management implemented actions.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q235 – Explanation

Correct: A. Follow-up monitors implementation of agreed actions (Standard 2500).

B wrong: The report is a deliverable.

C wrong: The plan is a tool.

D wrong: The engagement letter is an agreement.

Q236

Question: Which is the BEST description of "QAIP"?

A. A program to evaluate and improve the internal audit activity.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q236 – Explanation

Correct: A. QAIP covers all aspects of the internal audit activity.

B wrong: The report is a deliverable.

C wrong: The plan is a tool.

D wrong: The engagement letter is an agreement.

Q237

Question: Which is the BEST description of "internal audit charter"?

A. A formal document defining purpose, authority, and responsibility.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q237 – Explanation

Correct: A. The charter defines purpose, authority, and responsibility (Standard 1000).

B wrong: The report is a deliverable.

C wrong: The plan is a tool.

D wrong: The engagement letter is for a specific engagement.

Q238

Question: Which is the MOST likely effect of a strong audit committee on internal audit?

A. It weakens internal audit's authority.

B. It supports independence and authority.

C. It eliminates the need for a charter.

D. It performs the audit work.

Correct Answer: B

Q238 – Explanation

Correct: B. A strong audit committee protects independence and reinforces authority.

A wrong: It strengthens authority.

C wrong: The charter is still required.

D wrong: The committee oversees, not performs, audits.

Q239

Question: Which is the BEST description of "control self-assessment"?

A. External audit technique.

B. Management assesses its own controls.

C. Fraud investigation.

D. Regulatory filing.

Correct Answer: B

Q239 – Explanation

Correct: B. CSA engages management in assessing controls.

A wrong: It is internal.

C wrong: It is not fraud investigation.

D wrong: It is not a filing.

Q240

Question: Which is the MOST likely risk of using only inquiry to test a control?

A. Over-reliance on weak evidence.

B. Excessive sample size.

C. Too much documentation.

D. Excessive detection risk reduction.

Correct Answer: A

Q240 – Explanation

Correct: A. Inquiry is weak evidence.

B wrong: Inquiry doesn't drive sample size.

C wrong: Inquiry produces little evidence.

D wrong: Inquiry increases detection risk.

Q241

Question: Which is the BEST way to evaluate the effectiveness of a board's risk oversight?

A. Count board meetings.

B. Review how the board challenges and monitors risk.

C. Review board salaries.

D. Count board members.

Correct Answer: B

Q241 – Explanation

Correct: B. Effectiveness is judged by quality of challenge and monitoring.

A wrong: Meeting frequency is not effectiveness.

C wrong: Salaries are irrelevant.

D wrong: Size is not a performance measure.

Q242

Question: Which is the MOST appropriate action if the auditor believes the audit committee is not independent?

A. Ignore it.

B. Document and escalate through appropriate channels.

C. Resign immediately.

D. Report to the external auditor only.

Correct Answer: B

Q242 – Explanation

Correct: B. Document and escalate governance concerns appropriately.

A wrong: Ignoring governance weaknesses is improper.

C wrong: Resignation is a last resort.

D wrong: Reporting only to external audit is inappropriate.

Q243

Question: Which is the BEST way to test the completeness of fixed asset additions?

A. Trace from the fixed asset ledger to invoices.

B. Trace from receiving reports and invoices to the fixed asset ledger.

C. Review the budget.

D. Interview the controller.

Correct Answer: B

Q243 – Explanation

Correct: B. Tracing from source documents to the ledger tests completeness.

A wrong: Ledger-to-invoices tests existence.

C wrong: Budget review is not evidence.

D wrong: Inquiry alone is weak.

Q244

Question: Which is the MOST likely effect of a strong control environment on fraud risk?

A. Increases fraud risk.

B. Reduces fraud risk.

C. Has no effect.

D. Eliminates all fraud.

Correct Answer: B

Q244 – Explanation

Correct: B. A strong ethical tone reduces fraud risk.

A wrong: It reduces, not increases.

C wrong: It has a significant effect.

D wrong: Fraud cannot be eliminated.

Q245

Question: Which is the BEST description of "monitoring" in COSO?

A. Setting budgets.

B. Assessing the quality of internal control over time.

C. Hiring staff.

D. Preparing the audit plan.

Correct Answer: B

Q245 – Explanation

Correct: B. Monitoring assesses quality of internal control over time.

A wrong: Budgeting is a control activity.

C wrong: Hiring is a control activity.

D wrong: The audit plan is a tool.

Q246

Question: Which is the MOST appropriate way to test a physical safeguard control?

A. Review the policy.

B. Inspect the safeguards and attempt access.

C. Interview the guard.

D. Review the budget.

Correct Answer: B

Q246 – Explanation

Correct: B. Inspecting and attempting access provides direct evidence.

A wrong: Policy review tests design.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q247

Question: Which is the BEST description of "information and communication" in COSO?

A. The marketing plan.

B. Capturing and communicating relevant information.

C. The IT budget.

D. The audit report.

Correct Answer: B

Q247 – Explanation

Correct: B. It ensures relevant information is captured and communicated timely.

A wrong: Marketing is unrelated.

C wrong: The IT budget is a resource.

D wrong: The audit report is an output.

Q248

Question: Which is the MOST likely effect of management override on the audit strategy?

A. The auditor may reduce substantive testing.

B. The auditor may increase substantive testing or focus on journal entries.

C. The auditor ignores it.

D. The auditor relies on management.

Correct Answer: B

Q248 – Explanation

Correct: B. Override risk usually increases substantive testing.

A wrong: It increases, not reduces, testing.

C wrong: Ignoring override risk is improper.

D wrong: Reliance on management is inappropriate.

Q249

Question: Which is the BEST way to test the valuation of inventory?

A. Count the inventory.

B. Compare carrying amounts to net realizable value.

C. Review the budget.

D. Interview the warehouse manager.

Correct Answer: B

Q249 – Explanation

Correct: B. Comparing to NRV tests whether inventory is overvalued.

A wrong: Counting tests existence.

C wrong: Budget review is not valuation evidence.

D wrong: Inquiry alone is weak.

Q250

Question: Which is the MOST appropriate description of "risk appetite"?

A. The CAE's risk tolerance.

B. The amount/type of risk the organization is willing to accept.

C. The audit fee.

D. The external auditor's opinion.

Correct Answer: B

Q250 – Explanation

Correct: B. Risk appetite is set by governance and expresses willingness to accept risk.

A wrong: The CAE does not set appetite.

C wrong: Fees are unrelated.

D wrong: The external opinion is unrelated.

Q251

Question: Which is the BEST description of "control activities"?

A. Policies/procedures ensuring directives are carried out.

B. The board's schedule.

C. The audit plan.

D. The marketing plan.

Correct Answer: A

Q251 – Explanation

Correct: A. Control activities are policies and procedures such as approvals, reconciliations, and segregation.

B wrong: Schedules are not controls.

C wrong: The audit plan is a tool.

D wrong: Marketing plans are unrelated.

Q252

Question: Which is the MOST appropriate way to test a password policy?

A. Review the policy only.

B. Inspect system configuration and test password strength/reset settings.

C. Interview the IT director.

D. Review the IT budget.

Correct Answer: B

Q252 – Explanation

Correct: B. Testing actual configuration provides evidence the policy operates.

A wrong: Policy review tests design only.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q253

Question: Which is the BEST description of "due care"?

A. Guaranteeing no errors.

B. Using the care expected of a reasonably prudent auditor.

C. Following management orders.

D. Avoiding documentation.

Correct Answer: B

Q253 – Explanation

Correct: B. Due care is reasonable prudence and competence.

A wrong: Guarantees are impossible.

C wrong: Management orders do not override Standards.

D wrong: Documentation is required.

Q254

Question: Which is the MOST likely effect of a weak control environment on fraud risk?

A. It increases fraud risk.

B. It reduces fraud risk.

C. It has no effect.

D. It eliminates fraud.

Correct Answer: A

Q254 – Explanation

Correct: A. A weak tone at the top increases fraud risk.

B wrong: It increases, not reduces.

C wrong: It has a strong effect.

D wrong: It cannot eliminate fraud.

Q255

Question: Which is the BEST way to test the accuracy of a payroll register?

A. Compare to the budget.

B. Recompute gross pay, deductions, and net pay from time and rate records.

C. Interview the payroll clerk.

D. Review the policy.

Correct Answer: B

Q255 – Explanation

Correct: B. Recomputing from source records directly tests accuracy.

A wrong: Budget comparison is not accuracy evidence.

C wrong: Inquiry alone is weak.

D wrong: Policy review tests design only.

Q256

Question: Which is the MOST appropriate description of "assurance"?

A. An objective assessment providing an opinion/conclusion.

B. An advisory service.

C. The marketing plan.

D. The audit committee's schedule.

Correct Answer: A

Q256 – Explanation

Correct: A. Assurance is an objective assessment providing an independent opinion/conclusion.

B wrong: Advisory is consulting.

C wrong: Marketing is unrelated.

D wrong: Committee schedule is governance cadence.

Q257

Question: Which is the BEST way to test the existence of a receivable?

A. Review the aged trial balance.

B. Confirm with the customer.

C. Interview the credit manager.

D. Review the sales budget.

Correct Answer: B

Q257 – Explanation

Correct: B. External confirmation provides direct third-party evidence.

A wrong: The trial balance is internally generated.

C wrong: Inquiry alone is weak.

D wrong: Budgets are not existence evidence.

Q258

Question: Which is the MOST appropriate description of "follow-up"?

A. Monitoring whether management implemented actions.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q258 – Explanation

Correct: A. Follow-up monitors implementation of agreed actions (Standard 2500).

B wrong: The report is a deliverable.

C wrong: The plan is a tool.

D wrong: The engagement letter is an agreement.

Q259

Question: Which is the BEST description of "QAIP"?

A. A program to evaluate and improve the internal audit activity.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q259 – Explanation

Correct: A. QAIP covers all aspects of the internal audit activity.

B wrong: The report is a deliverable.

C wrong: The plan is a tool.

D wrong: The engagement letter is an agreement.

Q260

Question: Which is the BEST description of "internal audit charter"?

A. A formal document defining purpose, authority, and responsibility.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q260 – Explanation

Correct: A. The charter defines purpose, authority, and responsibility (Standard 1000).

B wrong: The report is a deliverable.

C wrong: The plan is a tool.

D wrong: The engagement letter is for a specific engagement.

Q261

Question: Which is the MOST likely effect of a strong control environment on audit strategy?

A. May allow more reliance on controls and less substantive testing.

B. Eliminates substantive testing.

C. Increases detection risk.

D. Removes the need for planning.

Correct Answer: A

Q261 – Explanation

Correct: A. A strong environment supports reliance on controls, though some substantive work remains.

B wrong: Substantive testing is still needed.

C wrong: It may reduce risk.

D wrong: Planning is always required.

Q262

Question: Which is the BEST way to test the completeness of recorded liabilities?

A. Vouch from the ledger to invoices.

B. Trace from receiving reports and invoices to the ledger.

C. Confirm payables.

D. Review the budget.

Correct Answer: B

Q262 – Explanation

Correct: B. Tracing from source documents to the ledger tests completeness.

A wrong: Ledger-to-invoices tests existence.

C wrong: Confirmations test existence.

D wrong: Budgets are not evidence.

Q263

Question: Which is the MOST appropriate description of "risk response"?

A. Ignoring risk.

B. Avoid, reduce, share, or accept risk.

C. Transferring all risk.

D. Eliminating all risk.

Correct Answer: B

Q263 – Explanation

Correct: B. The four responses are avoid, reduce, share, and accept.

A wrong: Ignoring is not a valid response.

C wrong: Transfer is only one option.

D wrong: Elimination is not always possible.

Q264

Question: Which is the BEST evidence of the existence of inventory held by a third party?

A. The third party's invoice.

B. External confirmation from the third party.

C. The warehouse receipt.

D. Management's representation.

Correct Answer: B

Q264 – Explanation

Correct: B. External confirmation from the third party is direct, independent evidence.

A wrong: An invoice is not proof of current existence.

C wrong: Warehouse receipts are internal.

D wrong: Management representations are weak.

Q265

Question: Which is the MOST appropriate action if an auditor is asked to audit a process they designed?

A. Proceed, since the design was approved.

B. Decline or request reassignment due to self-review threat.

C. Proceed but use a smaller sample.

D. Proceed and document the design.

Correct Answer: B

Q265 – Explanation

Correct: B. Auditing your own design is a self-review threat; decline or reassign.

A wrong: Approval does not remove the impairment.

C wrong: Smaller samples do not cure self-review.

D wrong: Documentation does not cure the threat.

Q266

Question: Which is the BEST description of "control environment"?

A. The IT firewall.

B. The tone of the organization regarding ethics and control.

C. The audit plan.

D. The external audit opinion.

Correct Answer: B

Q266 – Explanation

Correct: B. Control environment is the tone at the top.

A wrong: Firewalls are control activities.

C wrong: The audit plan is a tool.

D wrong: The external opinion is unrelated.

Q267

Question: Which is the MOST likely indicator of a fraudulent financial reporting scheme?

A. Revenue growth consistent with cash flow.

B. Revenue growth far exceeding cash flow.

C. Strong controls.

D. Timely reporting.

Correct Answer: B

Q267 – Explanation

Correct: B. Revenue outpacing cash flow may indicate fictitious or premature revenue recognition.

A wrong: Consistency is a positive sign.

C wrong: Strong controls reduce risk.

D wrong: Timely reporting is positive.

Q268

Question: Which is the BEST way to test the operating effectiveness of a three-way match?

A. Review the policy.

B. Select a sample of payments and verify PO, receipt, and invoice match.

C. Interview the AP manager.

D. Review the budget.

Correct Answer: B

Q268 – Explanation

Correct: B. Sampling payments and verifying the match tests whether the control operates.

A wrong: Policy review tests design.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q269

Question: Which is the MOST appropriate description of "governance"?

A. The audit plan.

B. Processes and structures to direct and control the organization.

C. The financial statements.

D. The audit report.

Correct Answer: B

Q269 – Explanation

Correct: B. Governance is the system of direction and control.

A wrong: The audit plan is a tool.

C wrong: Financial statements are outputs.

D wrong: The audit report is an output.

Q270

Question: Which is the BEST description of "audit risk"?

A. Risk the organization fails.

B. Risk the auditor issues an inappropriate conclusion.

C. Risk the control fails.

D. Risk of fraud.

Correct Answer: B

Q270 – Explanation

Correct: B. Audit risk is the risk of an incorrect audit conclusion.

A wrong: Business failure is business risk.

C wrong: Control failure is control risk.

D wrong: Fraud is a source of risk.

Q271

Question: Which is the MOST appropriate way to test the accuracy of an account balance?

A. Vouch to source documents.

B. Recompute the balance from supporting records.

C. Interview the accountant.

D. Review the budget.

Correct Answer: B

Q271 – Explanation

Correct: B. Recomputing the balance directly tests arithmetic accuracy.

A wrong: Vouching tests existence/occurrence.

C wrong: Inquiry alone is weak.

D wrong: Budget review is not accuracy evidence.

Q272

Question: Which is the BEST description of "control self-assessment"?

A. External audit technique.

B. Management assesses its own controls.

C. Fraud investigation.

D. Regulatory filing.

Correct Answer: B

Q272 – Explanation

Correct: B. CSA engages management in assessing controls.

A wrong: It is internal.

C wrong: It is not fraud investigation.

D wrong: It is not a filing.

Q273

Question: Which is the MOST likely risk of using only inquiry to test a control?

A. Over-reliance on weak evidence.

B. Excessive sample size.

C. Too much documentation.

D. Excessive detection risk reduction.

Correct Answer: A

Q273 – Explanation

Correct: A. Inquiry is weak evidence.

B wrong: Inquiry doesn't drive sample size.

C wrong: Inquiry produces little evidence.

D wrong: Inquiry increases detection risk.

Q274

Question: Which is the BEST way to evaluate the effectiveness of a board's risk oversight?

A. Count board meetings.

B. Review how the board challenges and monitors risk.

C. Review board salaries.

D. Count board members.

Correct Answer: B

Q274 – Explanation

Correct: B. Effectiveness is judged by quality of challenge and monitoring.

A wrong: Meeting frequency is not effectiveness.

C wrong: Salaries are irrelevant.

D wrong: Size is not a performance measure.

Q275

Question: Which is the MOST appropriate action if the auditor believes the audit committee is not independent?

A. Ignore it.

B. Document and escalate through appropriate channels.

C. Resign immediately.

D. Report to the external auditor only.

Correct Answer: B

Q275 – Explanation

Correct: B. Document and escalate governance concerns appropriately.

A wrong: Ignoring governance weaknesses is improper.

C wrong: Resignation is a last resort.

D wrong: Reporting only to external audit is inappropriate.

Q276

Question: Which is the BEST way to test the completeness of fixed asset additions?

A. Trace from the fixed asset ledger to invoices.

B. Trace from receiving reports and invoices to the fixed asset ledger.

C. Review the budget.

D. Interview the controller.

Correct Answer: B

Q276 – Explanation

Correct: B. Tracing from source documents to the ledger tests completeness.

A wrong: Ledger-to-invoices tests existence.

C wrong: Budget review is not evidence.

D wrong: Inquiry alone is weak.

Q277

Question: Which is the MOST likely effect of a strong control environment on fraud risk?

A. Increases fraud risk.

B. Reduces fraud risk.

C. Has no effect.

D. Eliminates all fraud.

Correct Answer: B

Q277 – Explanation

Correct: B. A strong ethical tone reduces fraud risk.

A wrong: It reduces, not increases.

C wrong: It has a significant effect.

D wrong: Fraud cannot be eliminated.

Q278

Question: Which is the BEST description of "monitoring" in COSO?

A. Setting budgets.

B. Assessing the quality of internal control over time.

C. Hiring staff.

D. Preparing the audit plan.

Correct Answer: B

Q278 – Explanation

Correct: B. Monitoring assesses quality of internal control over time.

A wrong: Budgeting is a control activity.

C wrong: Hiring is a control activity.

D wrong: The audit plan is a tool.

Q279

Question: Which is the MOST appropriate way to test a physical safeguard control?

A. Review the policy.

B. Inspect the safeguards and attempt access.

C. Interview the guard.

D. Review the budget.

Correct Answer: B

Q279 – Explanation

Correct: B. Inspecting and attempting access provides direct evidence.

A wrong: Policy review tests design.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q280

Question: Which is the BEST description of "information and communication" in COSO?

A. The marketing plan.

B. Capturing and communicating relevant information.

C. The IT budget.

D. The audit report.

Correct Answer: B

Q280 – Explanation

Correct: B. It ensures relevant information is captured and communicated timely.

A wrong: Marketing is unrelated.

C wrong: The IT budget is a resource.

D wrong: The audit report is an output.

Q281

Question: Which is the MOST likely effect of management override on the audit strategy?

A. The auditor may reduce substantive testing.

B. The auditor may increase substantive testing or focus on journal entries.

C. The auditor ignores it.

D. The auditor relies on management.

Correct Answer: B

Q281 – Explanation

Correct: B. Override risk usually increases substantive testing.

A wrong: It increases, not reduces, testing.

C wrong: Ignoring override risk is improper.

D wrong: Reliance on management is inappropriate.

Q282

Question: Which is the BEST way to test the valuation of inventory?

A. Count the inventory.

B. Compare carrying amounts to net realizable value.

C. Review the budget.

D. Interview the warehouse manager.

Correct Answer: B

Q282 – Explanation

Correct: B. Comparing to NRV tests whether inventory is overvalued.

A wrong: Counting tests existence.

C wrong: Budget review is not valuation evidence.

D wrong: Inquiry alone is weak.

Q283

Question: Which is the MOST appropriate description of "risk appetite"?

A. The CAE's risk tolerance.

B. The amount/type of risk the organization is willing to accept.

C. The audit fee.

D. The external auditor's opinion.

Correct Answer: B

Q283 – Explanation

Correct: B. Risk appetite is set by governance and expresses willingness to accept risk.

A wrong: The CAE does not set appetite.

C wrong: Fees are unrelated.

D wrong: The external opinion is unrelated.

Q284

Question: Which is the BEST description of "control activities"?

A. Policies/procedures ensuring directives are carried out.

B. The board's schedule.

C. The audit plan.

D. The marketing plan.

Correct Answer: A

Q284 – Explanation

Correct: A. Control activities are policies and procedures such as approvals, reconciliations, and segregation.

B wrong: Schedules are not controls.

C wrong: The audit plan is a tool.

D wrong: Marketing plans are unrelated.

Q285

Question: Which is the MOST appropriate way to test a password policy?

A. Review the policy only.

B. Inspect system configuration and test password strength/reset settings.

C. Interview the IT director.

D. Review the IT budget.

Correct Answer: B

Q285 – Explanation

Correct: B. Testing actual configuration provides evidence the policy operates.

A wrong: Policy review tests design only.

C wrong: Inquiry alone is weak.

D wrong: Budget review is irrelevant.

Q286

Question: Which is the BEST description of "due care"?

A. Guaranteeing no errors.

B. Using the care expected of a reasonably prudent auditor.

C. Following management orders.

D. Avoiding documentation.

Correct Answer: B

Q286 – Explanation

Correct: B. Due care is reasonable prudence and competence.

A wrong: Guarantees are impossible.

C wrong: Management orders do not override Standards.

D wrong: Documentation is required.

Q287

Question: Which is the MOST likely effect of a weak control environment on fraud risk?

A. It increases fraud risk.

B. It reduces fraud risk.

C. It has no effect.

D. It eliminates fraud.

Correct Answer: A

Q287 – Explanation

Correct: A. A weak tone at the top increases fraud risk.

B wrong: It increases, not reduces.

C wrong: It has a strong effect.

D wrong: It cannot eliminate fraud.

Q288

Question: Which is the BEST way to test the accuracy of a payroll register?

A. Compare to the budget.

B. Recompute gross pay, deductions, and net pay from time and rate records.

C. Interview the payroll clerk.

D. Review the policy.

Correct Answer: B

Q288 – Explanation

Correct: B. Recomputing from source records directly tests accuracy.

A wrong: Budget comparison is not accuracy evidence.

C wrong: Inquiry alone is weak.

D wrong: Policy review tests design only.

Q289

Question: Which is the MOST appropriate description of "assurance"?

A. An objective assessment providing an opinion/conclusion.

B. An advisory service.

C. The marketing plan.

D. The audit committee's schedule.

Correct Answer: A

Q289 – Explanation

Correct: A. Assurance is an objective assessment providing an independent opinion/conclusion.

B wrong: Advisory is consulting.

C wrong: Marketing is unrelated.

D wrong: Committee schedule is governance cadence.

Q290

Question: Which is the BEST way to test the existence of a receivable?

A. Review the aged trial balance.

B. Confirm with the customer.

C. Interview the credit manager.

D. Review the sales budget.

Correct Answer: B

Q290 – Explanation

Correct: B. External confirmation provides direct third-party evidence.

A wrong: The trial balance is internally generated.

C wrong: Inquiry alone is weak.

D wrong: Budgets are not existence evidence.

Q291

Question: Which is the MOST appropriate description of "follow-up"?

A. Monitoring whether management implemented actions.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q291 – Explanation

Correct: A. Follow-up monitors implementation of agreed actions (Standard 2500).

B wrong: The report is a deliverable.

C wrong: The plan is a tool.

D wrong: The engagement letter is an agreement.

Q292

Question: Which is the BEST description of "QAIP"?

A. A program to evaluate and improve the internal audit activity.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q292 – Explanation

Correct: A. QAIP covers all aspects of the internal audit activity.

B wrong: The report is a deliverable.

C wrong: The plan is a tool.

D wrong: The engagement letter is an agreement.

Q293

Question: Which is the BEST description of "internal audit charter"?

A. A formal document defining purpose, authority, and responsibility.

B. The audit report.

C. The audit plan.

D. The engagement letter.

Correct Answer: A

Q293 – Explanation

Correct: A. The charter defines purpose, authority, and responsibility (Standard 1000).

B wrong: The report is a deliverable.

C wrong: The plan is a tool.

D wrong: The engagement letter is for a specific engagement.

Q294

Question: Which is the MOST likely effect of a strong audit committee on internal audit?

A. It weakens internal audit's authority.

B. It supports independence and authority.

C. It eliminates the need for a charter.

D. It performs the audit work.

Correct Answer: B

Q294 – Explanation

Correct: B. A strong audit committee protects independence and reinforces authority.

A wrong: It strengthens authority.

C wrong: The charter is still required.

D wrong: The committee oversees, not performs, audits.

Q295

Question: Which is the BEST description of "control self-assessment"?

A. External audit technique.

B. Management assesses its own controls.

C. Fraud investigation.

D. Regulatory filing.

Correct Answer: B

Q295 – Explanation

Correct: B. CSA engages management in assessing controls.

A wrong: It is internal.

C wrong: It is not fraud investigation.

D wrong: It is not a filing.

Q296

Question: Which is the MOST likely risk of using only inquiry to test a control?

A. Over-reliance on weak evidence.

B. Excessive sample size.

C. Too much documentation.

D. Excessive detection risk reduction.

Correct Answer: A

Q296 – Explanation

Correct: A. Inquiry is weak evidence.

B wrong: Inquiry doesn't drive sample size.

C wrong: Inquiry produces little evidence.

D wrong: Inquiry increases detection risk.

Q297

Question: Which is the BEST way to evaluate the effectiveness of a board's risk oversight?

A. Count board meetings.

B. Review how the board challenges and monitors risk.

C. Review board salaries.

D. Count board members.

Correct Answer: B

Q297 – Explanation

Correct: B. Effectiveness is judged by quality of challenge and monitoring.

A wrong: Meeting frequency is not effectiveness.

C wrong: Salaries are irrelevant.

D wrong: Size is not a performance measure.

Q298

Question: Which is the MOST appropriate action if the auditor believes the audit committee is not independent?

A. Ignore it.

B. Document and escalate through appropriate channels.

C. Resign immediately.

D. Report to the external auditor only.

Correct Answer: B

Q298 – Explanation

Correct: B. Document and escalate governance concerns appropriately.

A wrong: Ignoring governance weaknesses is improper.

C wrong: Resignation is a last resort.

D wrong: Reporting only to external audit is inappropriate.

Q299

Question: Which is the BEST way to test the completeness of fixed asset additions?

A. Trace from the fixed asset ledger to invoices.

B. Trace from receiving reports and invoices to the fixed asset ledger.

C. Review the budget.

D. Interview the controller.

Correct Answer: B

Q299 – Explanation

Correct: B. Tracing from source documents to the ledger tests completeness.

A wrong: Ledger-to-invoices tests existence.

C wrong: Budget review is not evidence.

D wrong: Inquiry alone is weak.

Q300

Question: Which is the MOST likely effect of a strong control environment on fraud risk?

A. Increases fraud risk.

B. Reduces fraud risk.

C. Has no effect.

D. Eliminates all fraud.

Correct Answer: B

Q300 – Explanation

Correct: B. A strong ethical tone reduces fraud risk.

A wrong: It reduces, not increases.

C wrong: It has a significant effect.

D wrong: Fraud cannot be eliminated.

End

End of Questions 201–300

Review, repeat, and mark weak areas.

Add more questions by copying the Q/Explanation frame pairs.